

HEDGEYE DAILY DIGEST

Monday, August 3, 2026 (GMT+8) | Covering Hedgeye's most recent publishing day: Friday, July 31 (EDT)

Top line: After a month-long **#Quad4** tech unwind that Keith McCullough calls a “crash,” Friday delivered the reflexive bounce — **Mag7 +2%**, high-beta momentum **+14%**, **KOSPI +18%** — but Hedgeye’s message is patience, not capitulation: a Day-1 bounce off **#oversold** lows is not a trend reversal. The 2H 2026 house call is unchanged — **Global #Quad3 Stagflation**, with long bond yields bullish from Japan to the US and energy re-accelerating inflation. The desk is buying lower-beta leadership (Real Estate, Health Care), international laggards (Brazil, New Zealand, Philippines) and is **newly long the US Dollar**, while staying short Tech (XLK, PTF, MEME, IVES) and freshly short **Lithium**.

Today’s Publications — Friday, July 31 (EDT)

EARLY LOOK — “Crash, Bounce, Then?”

Keith McCullough | Early Look | 07/31/26 07:38 AM EDT | Quad framework: Global #Quad3 Stagflation (2H 2026)

Keith frames Friday’s rip as the textbook third act of a familiar sequence: “**Momentum Monkeys**” chase highs on leverage, dips become drawdowns, drawdowns become crashes — and “markets bounce big because they crashed.” The critical caveat is that **Day 1 of a bounce is not proof the broader TREND has reversed**, especially in assets that have been falling for weeks. He leans on process over prediction: reduce shorts near immediate-term **#oversold** lows, wait and watch through the bounce, and let the Risk Range signals dictate the next move.

The execution playbook is explicit. If a bounce **fails** at the @Hedgeye TRADE momentum level, that’s a signal to re-press the short. If price “**recaptures the flag**” (closes back above the TRADE line), cover the short to minimum size. If it then ramps above the intermediate-term **TREND** line, stop out entirely and consider going long on the next correction if TREND holds. The mirror-image rules apply to longs.

His worked example is **Technology (XLK)**: Risk Range **165–181**, immediate-term TRADE signal **\$180**, TREND **\$176**. Because he cut his XLK short to minimum size on Wednesday when it was on sale near the low end of the range (~**166**), he now waits to see whether it recaptures **\$180** — if it does, he stops out. He also flagged **Asia** as the tell: he is **short EWY (South Korea)**, with Japan’s Nikkei down another **-1.5%** overnight to **-11.6%** in a month and signaling the same oversold exhaustion as the KOSPI.

Investment implication: Respect the bounce but don’t chase it. The signal — not the narrative — defines when to cover, stop out, or re-short. Stagflationary **#Quad3** leadership (energy, lower-beta value, a developing gold long) stays intact until the Risk Ranges say otherwise.

Risk Range™ Signals — Friday, July 31, 2026

Asset	Risk Range (Low - High)	TREND
10-Year UST Yield (UST10Y)	4.59 - 4.71	Bullish
High Yield (HYG)	78.97 - 79.76	Neutral
Investment Grade (LQD)	105.7 - 107.3	Bearish
S&P 500 (SPX)	7316 - 7538	Bullish
NASDAQ Composite (COMPQ)	24314 - 25569	Bearish
Russell 2000 (RUT)	2904 - 2990	Bullish
Technology (XLK)	165 - 181	Bearish
Health Care (XLV)	159 - 168	Bullish
Real Estate (XLRE)	44.99 - 46.40	Bullish

Asset	Risk Range (Low - High)	TREND
Volatility (VIX)	15.77 - 20.56	Bearish
US Dollar Index (USD)	99.76 - 102.01	Bullish
WTI Crude Oil (WTIC)	79.27 - 92.90	Bullish
Natural Gas (NATGAS)	2.61 - 2.93	Bearish
Gold (GOLD)	3991 - 4139	Bearish
Copper (COPPER)	6.19 - 6.59	Bullish
Silver (SILVER)	55 - 60	Bearish

MOMO TRACKER — Mag7 (+2%), MSFT=BULLISH, AMZN=NEUTRAL

Christian Drake & Ryan Ricci | Momentum Stock Tracker | 07/31/26 08:34 AM EDT

The momentum dashboard captured the same crash-to-bounce sequence in the mega-caps: the **Mag7 basket rose +2%** off #oversold signals, with **MSFT flipping BULLISH** on TREND and **AMZN reading NEUTRAL**. Consistent with the Early Look, the framing — **Crash → Oversold → Bounce → Then?** — underscores that a one-day rebound in the most-crowded names does not yet resolve the broader downtrend. The tracker uses that morning's published Risk Ranges, so the takeaway is the state of the signals: most Mag7 names are still working off exhaustion, not confirming a new bullish leg.

THE MACRO SHOW — Summary Notes & Replay | Friday, July 31

Keith McCullough | The Macro Show | 07/31/26 10:30 AM EDT

Keith walked through fresh positioning. The headline change was a **new long US Dollar** initiated off an immediate-term oversold signal — preferred expression **long USD vs. the euro** (the yen a less attractive short after a hawkish-sounding BoJ). He called the dollar **bullish TREND but not yet bullish TRADE**. The cleanest correlated short is **Bitcoin vs. the dollar**, now below both TRADE (~\$64,000) and TREND — “quite bearish.”

On the bounce, he stressed scale: **High-Beta Momentum rebounded ~14%** and **KOSPI ~18%**, yet momentum remains roughly **60% below its peak** (needing ~150% to recover) and Korea **~28%** below its high. “The largest one-day rallies often occur during bear markets,” so no reversal was declared. Instead he is **buying lower-beta leadership — Real Estate (XLRE) and Health Care (XLV)** — on their down day, and stays **long equal-weight S&P (RSP)**, which had an unusually poor relative session comparable only to 2000 and the pandemic. He **added to Brazil (EWZ)** toward the top of its sizing range and reiterated **New Zealand (ENZL)** and the **Philippines (EPHE)**.

Other actions: long **CRAK (oil refiners)**, bullish on both TRADE and TREND, preferred over crude itself (bullish TREND / bearish TRADE); a **new short in Lithium** sourced via the Alpha Code process; and **Gold** in the early stages of a potential build (higher lows, but still must break TRADE then TREND). He had **covered all European positions** and **exited Utilities** earlier in the week. Risk overlays: the **10-year yield** stays structurally bullish (a problem for rate-sensitives), and the **VIX (15.77–20.56)** sits in the “investable bucket” — but a move back above **~19–20** plus month-end vol-control selling would remove that cushion.

MACRO WEEK SUMMARY NOTES — July 31st, 2026

From The Desk | 07/31/26 05:59 PM EDT

Hedgeye's Friday-evening weekly wrap collates the week's research into one reference: the **Macro Dashboard, Weekly Macro Commentary, VIX Gauge, US Monthly Quad Forecast, Chart of the Week**, and Market Insights. The full edition is gated, but it lands on the week's through-line — a crowded-tech unwind against a **#Quad3 stagflation** backdrop and rotation toward energy, value and international.

CAPITAL ALLOCATION PRO — Daily Dashboard | Model Portfolios

R. McGroarty, A. Nanai & D. Salem (Hedgeye Asset Management) | 07/31/26 09:26 AM EDT

The daily model-portfolio dashboard notes that catalogued Model Portfolio changes take effect using **Thursday, July 30 closing prices**, with model portfolios, scorecard and the complete daily brief on the Capital Allocation feed. TREND/TAIL levels for the 68-ETF universe follow the standard 3–4 week refresh cycle. No new emailed alert was pushed, consistent with the team's "pull vs. push" philosophy.

SIGNAL STRENGTH STOCKS — 66 Stocks (4 Added, 4 Removed)

Signal Strength Stocks | 07/31/26 11:21 AM EDT

The weekly single-name signal screen held at **66 names**. **Added: TRU, EXPGY, LH, UL** — a defensive/quality tilt (credit bureau, information services, lab testing, consumer staples). **Removed: ACHC, UNH, NVO, WCN**, pulling two healthcare-services names and Novo Nordisk. The rotation matches the desk's preference for lower-beta, cash-flow-durable exposures over crowded growth.

ALSO PUBLISHED (Other)

Bitcoin Trend Tracker & ETF Pro Plus

Crypto Quant (07/31 07:06 AM EDT): **BTC -1.4%**, **ETH = BEARISH**, a **COIN 2Q miss**, and "the quietest tape" — reinforcing the bearish crypto-vs-dollar call. **ETF Pro Plus — New Weekly Report** (published Sunday, 08/02 06:22 PM EDT; the only item inside the strict Aug-3 GMT+8 window) refreshed the TREND ETF list: bullish leadership skews to **gold (AAAU)**, **healthcare (FXH/XLV)**, **real estate (XLRE/BBRE)**, **energy (XLE/CRAK)**, **Brazil (EWZ)** and **US Dollar (UUP)**, while the bearish column is dominated by **Technology (XLK/PTF)**, **AI (AIQ/IVES)**, **consumer discretionary (XLY)**, **South Korea (EWY)** and **Lithium (LIT)**.

Yesterday's Publications — Thursday, July 30 (EDT)

EARLY LOOK — "You Think You Just Fell Out of a Coconut Tree?"

Drago Malesevic, CFA | Early Look | 07/30/26 07:25 AM EDT

What: A macro note pairing Iran/Strait of Hormuz geopolitics with a rising-inflation call.

Why: Energy reflation is derailing the expected disinflation path, raising the odds of an **August Quad 3** outcome; cheap asymmetric leverage in a chokepoint carrying ~20% of seaborne oil/LNG has moved energy prices more than models priced.

Who: Iran, Israel, the US and a Warsh-led Fed; Keith cited as having gone **long XLE, CRAK, CERY** over the prior two days.

Key numbers: July inflation nowcast **+3.48%** (only **+5bp** sequential deceleration vs. **+24bp** modeled at month-start); August **Quad 3 probability raised 30%→50%**; probability of inflation accelerating **55%→91%**; a Fed vote with **three dissents**.

Takeaway: Hold an informed prior, but let the Signal confirm it — energy and consumer staples leading (a #Quad3 tell) and bullish bond yields validate the inflation/stagflation call; conviction must not become attachment.

KM'S TOP 3 THINGS (Rates / QQQ / Factors)

Keith McCullough | From The Desk | 07/30/26 07:18 AM EDT

What: Keith's three top calls. **Why/detail:** **RATES** — the move in oil mattered more to bonds than anything Warsh said; long-term yields bullish **TREND** from Japan to the US = **Global #Quad3 Stagflation** for 2H 2026, with US inflation set to **re-accelerate in August** (reported September, just before the Fed meeting). **QQQ** — the Bag7 / high-beta "Tech Wreck" is finally printing downside exhaustion, but with **NazVol at 31** the NASDAQ **-10% Quad4 drawdown** isn't confirmed over; still **short XLK, PTF, MEME, IVES**. **FACTORS** — **High Beta Momentum -6.7%** on the day to **-33%** in a month; the retail-investor factor **-4.2%** to **-8.6% YTD**.

Key numbers: Risk Ranges — **SPX 7276–7462, UST10Y 4.58–4.75%**.

Takeaway: Front-run a signal-less Fed with the data; stay net short crowded tech/retail factors and long the stagflation trade.

MOMO TRACKER — Mag7 (-1.4%), MSFT=NEUTRAL; RR=+11%/-2%

Christian Drake & Ryan Ricci | Momentum Stock Tracker | 07/30/26 08:10 AM EDT

What: Pre-bounce momentum snapshot. **Why:** Captured the "Tech Wreck Reaching Exhaustion" moment the day before the bounce. **Key numbers:** **Mag7 -1.4%, MSFT = NEUTRAL**, aggregate Risk Range skewed **+11% upside / -2% downside**, **High Beta Momentum now negative YTD**. **Takeaway:** Exhaustion signals were building into the low — the setup for Friday's oversold bounce, but not yet a **TREND** reversal.

THE MACRO SHOW — Summary Notes & Replay | Thursday, July 30

R. Patrick Kent, Sam Rahman & Daryl Jones | The Macro Show | 07/30/26 10:22 AM EDT

What: Deep dive on rates, the tech unwind, and AI/memory. **Why:** Oil back to bullish **TREND** handed control to bond vigilantes — a **~13bp** move in the 30-year and **~12bp** widening in 2s/10s, keeping **Global Quad 3 Stagflation** the base case. The high-beta drawdown was framed as **both fundamental and mechanical** — one of the fastest since the Covid crash and 2001, driven by leveraged ETFs, single stocks and Korean collateral de-grossing into month-end.

Who: Bullish oil/yields/USD, staples (**XLP**), value (**FAB**), commodities (**CERY**), quality compounders (**NOBL**); bearish **QQQ, XLK, PTF, MEME, IVES**, high-beta, Bag7, quantum, memory/DRAM. **Key numbers:** memory prices up **700–800%** (expected to slow sharply by early 2027); mortgage rates back near **6.70%**; VIX chop range **~16.7–21.5**.

Takeaway: A violent short-term bounce in AI/tech is possible after the mechanical unwind, but the durable question is whether the same leaders can sustain their prior rate of change — the process stays short crowded tech and long the stagflation basket.

CAPITAL ALLOCATION PRO — Model Portfolio Changes | Effective 7/30/2026

Hedgeye Asset Management | Capital Allocation Pro | 07/30/26 02:48 PM EDT

What: Catalogued model-portfolio changes going into effect on **Thursday, July 30 closing prices**. **Why:** Routine rebalancing within the "pull vs. push" framework; detailed changes live on the Capital Allocation feed. **Takeaway:** Positioning shifts align with the broader rotation — trimming crowded growth, leaning into #Quad3 leadership.

SIGNAL STRENGTH STOCKS — 66 Stocks (2 Added, 4 Removed)

Signal Strength Stocks | 07/30/26 03:57 PM EDT

What: Single-name signal screen update. **Key numbers:** Added: CHWY, RTX; Removed: ADDYY, RH, WM, XYL. **Takeaway:** Adds skew toward defensives/defense (RTX) and a resilient consumer name; removals continue shedding rate-sensitive and cyclical exposure.